

MGT402 - Cost & Management Accounting

Quizzes mega file solved by
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Remember Me Us in Your Prayers

Best regard's

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Question # 1 of 10 (Start time: 10:55:54 AM) Total Marks: 1

Closing work in process Inventory of last year:

Select correct option:

Is treated as Opening inventory for current year

Is not carried forward to next year

Become expense in the next year

Charge to Profit & Loss account

Question # 2 of 10 (Start time: 10:56:30 AM) Total Marks: 1

Which of the following statement measures the financial position of the entity on particular time?

Select correct option:

Income Statement

Balance Sheet

Cash Flow Statement

Statement of Retained Earning

Question # 3 of 10 (Start time: 10:57:13 AM) Total Marks: 1

An organisation sold units 4000 and have closing finished goods 3500 units and opening finished goods units were 1000. The quantity of unit produced would be:

Select correct option:

7500 units

6500 units

Number of units manufactured/produced = units sold + closing balance of finished goods units - opening balance of finished goods units

number of units produced/manufactured = 4000 + 3500 - 1000 = 6500

4500 units

8500 units

Question # 4 of 10 (Start time: 10:58:35 AM) Total Marks: 1

Increase in material Inventory means:

Select correct option:

The ending inventory is greater than opening inventory

The ending inventory is less than opening inventory

Both ending and opening inventories are equal

Can not be determined

Question # 5 of 10 (Start time: 10:59:08 AM) Total Marks: 1

Under LIFO method the value of issues is close to:

Select correct option:

Second hand price

Current market price

Historical cost

All of given options

Question # 6 of 10 (Start time: 10:59:54 AM) Total Marks: 1

Loss by fire is an example of:

Select correct option:

Normal Loss

Abnormal Loss

Incremental Loss

Can not be determined

Question # 7 of 10 (Start time: 11:00:21 AM) Total Marks: 1

Which of the following is true for total factory cost?

Select correct option:

Total factor cost = prime cost + FOH

Total factor cost = prime cost + conversion cost + FOH

Total factor cost = conversion cost + FOH

Total factor cost = prime cost + conversion cost

Question # 8 of 10 (Start time: 11:01:46 AM) Total Marks: 1
Under Periodic Inventory system Purchase of inventory is treated as:
Select correct option:

Assets
Expense
Income
Liability

Question # 9 of 10 (Start time: 11:02:19 AM) Total Marks: 1
_____ are future costs that effect the current management decision.
Select correct option:

Sunk Cost
Standard Cost
Relevant Cost
Irrelevant Cost

Question # 10 of 10 (Start time: 11:02:50 AM) Total Marks: 1
The danger Level can be calculated ?
Select correct option:

Average consumption x Lead time to get urgent supplies
Normal consumption x Lead time to get urgent supplies
Maximum consumption x Lead time to get urgent supplies
Minimum consumption x Lead time to get urgent supplies

Question # 1 of 10 (Start time: 11:15:34 AM) Total Marks: 1
A method by which the first goods to be received are said to be the first to be sold
Select correct option:

LIFO
AVCO
FIFO

WASH

Question # 2 of 10 (Start time: 11:16:02 AM) Total Marks: 1

Cost of finished goods inventory is calculated by:

Select correct option:

Multiplying units of finished goods inventory with the cost per unit

Dividing units of finished goods inventory with the cost per unit

Dividing per unit cost with finished goods inventory

Deducting total cost from finished goods inventory

Question # 3 of 10 (Start time: 11:16:49 AM) Total Marks: 1

"Taking steps for the fresh purchase of those stocks which have been exhausted and for which requisitions are to be honored in future" is an easy explanation of:

Select correct option:

Overstocking

Under stocking

Replenishment of stock

Acquisition of stock

Question # 4 of 10 (Start time: 11:17:14 AM) Total Marks: 1

The Term Minimum Level Represents.

Select correct option:

This represents the quantity below which the stock of any item should not be allowed to fall

This represents the quantity below which the stock of any item should be allowed to fall

This is the estimated time period in number of days or in weeks or in months.

This is the Lead time period in number of days or in weeks or in months.

Question # 5 of 10 (Start time: 11:18:03 AM) Total Marks: 1

A high inventory turnover may indicate:

Select correct option:

- An efficient use of the investment in inventory
- A high risk of stock-outs
- Stock position of store room
- All of the given options

Question # 6 of 10 (Start time: 11:18:57 AM) Total Marks: 1

Which of the following is an example of semi variable cost?

Select correct option:

- Salary of supervisor
- Rent of a building
- Post paid mobile connection
- None of the given options

Question # 7 of 10 (Start time: 11:20:21 AM) Total Marks: 1

Net Income before Interest and tax is also called:

Select correct option:

- Operating Income/Profit
- Gross Profit
- Marginal Income
- Other Income

Question # 8 of 10 (Start time: 11:20:55 AM) Total Marks: 1

If, $COGS = Rs. 50,000$ $GP \text{ Margin} = 25\%$ of sales What will be the value of Sales?

Select correct option:

- Rs. 200,000
- Rs. 66,667
- Rs. 62,500
- None of the given options

Question # 9 of 10 (Start time: 11:21:23 AM) Total Marks: 1
Direct materials cost is Rs. 80,000. Direct labor cost is Rs. 60,000.
Factory overhead is Rs. 90,000. Beginning goods in process were Rs.
15,000. The cost of goods manufactured is Rs. 245,000. What is the
cost assigned to the ending goods in process?

Select correct option:

Rs. 45,000

Rs. 15,000

Rs. 30,000

There will be no ending Inventory

Question # 10 of 10 (Start time: 11:21:49 AM) Total Marks: 1
Differential cost has the behavior of ?

Select correct option:

Fixed cost

Step cost

Variable/semi avriable cost

All of the given options

Question # 1 of 10 (Start time: 11:29:51 AM) Total Marks: 1
EOQ is a point where:

Select correct option:

Ordering cost is equal to carrying cost

Ordering cost is higher than carrying cost

Ordering cost is lesser than the carrying cost

Total cost is maximum

Question # 2 of 10 (Start time: 11:30:25 AM) Total Marks: 1
In order to ensure efficient functioning of the stores department and
steady flow of materials to the production departments, the restocking
of stores is duty of:

Select correct option:

Managers

Storekeeper

Production In charge
Sales supervisor

Question # 3 of 10 (Start time: 11:31:04 AM) Total Marks: 1
The journal entry of purchase of stock under periodic inventory system would be?
Select correct option:

Inventory to Cash
Cash to Purchases
Purchases to Inventory
None of the given options

Question # 4 of 10 (Start time: 11:31:34 AM) Total Marks: 1
Direct material opening inventory add net purchases is called
Select correct option:

Material consumed
Material available for use
Total material purchased
Material ending inventory

Question # 5 of 10 (Start time: 11:32:03 AM) Total Marks: 1
What will be the impact of normal loss on the overall per unit cost?
Select correct option:

Per unit cost will increase
Per unit cost will decrease
Per unit cost remain unchanged
Normal loss has no relation to unit cost

Question # 6 of 10 (Start time: 11:32:30 AM) Total Marks: 1
Inventory turnover ratio can be calculated as follow?
Select correct option:

Cost of goods sold/Average inventory
Gross profit/Average inventory
Cost of goods sold/sale
Cost of goods sold/Gross profit

Question # 7 of 10 (Start time: 11:33:02 AM) Total Marks: 1

Which of the following is an example of semi variable cost?

Select correct option:

Salary of supervisor

Rent of a building

Post paid mobile connection

None of the given options

Question # 8 of 10 (Start time: 11:33:21 AM) Total Marks: 1

Which of the following is indirect cost?

Select correct option:

The depreciation of machinery

The overtime premium incurred at the specific request of a customer

The hire of tools for a specific job

All of the given options

Question # 9 of 10 (Start time: 11:33:46 AM) Total Marks: 1

Cost accounting department prepares _____ that helps the in preparing final accounts.

Select correct option:

Cost sheets

Cost of goods sold statement

Cost of production Report

Material requisition form

Question # 10 of 10 (Start time: 11:35:10 AM) Total Marks: 1

A cost unit is

Select correct option:

The cost per hour of operating a machine

The cost per unit of electricity consumed

A unit of product or services in relation to which costs are ascertained

A measure of work output in a standard hour

MGT402 - Cost & Management Accounting

Quiz # 02

Solved by Afaaq

Afaaqtariq233@gmail.com

Question # 1 of 20 (Start time: 10:48:48 AM) Total Marks: 1

The flux method of labor turnover denotes:

Select correct option:

Workers appointed against the vacancy caused due to discharge or quitting of the organization

Workers appointed in replacement of existing employees

Workers employed under the expansion schemes of the company

The total change in the composition of labor force

Question # 2 of 20 (Start time: 10:49:18 AM) Total Marks: 1

A store ledger card is similar to the _____ .

Select correct option:

Stock ledger

Bin card

Material card

Purchase requisition card

Question # 3 of 20 (Start time: 10:49:41 AM) Total Marks: 1

Cost accounting concepts include all of the following EXCEPT:

Select correct option:

Planning

Controlling

Sharing

Costing

Question # 4 of 20 (Start time: 10:50:08 AM) Total Marks: 1
Generally, the danger level of stock is fixed _____ the minimum level.

Select correct option:

Below

Above

Equal

Danger level has no relation to minimum level

Question # 5 of 20 (Start time: 10:50:37 AM) Total Marks: 1
Which of the following cost has both features fixed and variable?
Select correct option:

Step fixed cost

Fixed cost

Variable cost

Semi variable cost

Question # 6 of 20 (Start time: 10:52:01 AM) Total Marks: 1
Net sales = Sales less:
Select correct option:

Sales returns

Sales discounts

Sales returns & allowances

Sales returns & allowances and sales discounts

Question # 7 of 20 (Start time: 10:52:45 AM) Total Marks: 1
All of the following are essential requirements of a good wage system
EXCEPT:

Select correct option:

Reduced overhead costs

Reduced per unit variable cost
Increased production
Increased operating costs

Question # 8 of 20 (Start time: 10:53:20 AM) Total Marks: 1
Which of the following would be considered to be an investment centre?
Select correct option:

Managers have control over marketing
Management have a sales team
Management have a sales team and are given a credit control function
Managers can purchase capital assets and are given a credit control function

Question # 8 of 20 (Start time: 10:17:32 AM)
Where the applied FOH cost is less than the actual FOH cost it is:
Select correct option:

Unfavorable variance
Favorable variance
Normal variance
Budgeted variance

Question # 9 of 20 (Start time: 10:18:24 AM)
Which of the following is called Non Statutory deductions:
Select correct option:

Subscriptions to a trade union
Contributions by the employee to a pension scheme
Contributions by the employer to a pension scheme
All of the given

Question # 9 of 20 (Start time: 10:53:48 AM) Total Marks: 1

All of the following are terms used to denote Factory Overheads
EXCEPT:

Select correct option:

- Factory burden
- Factory expenses
- Manufacturing overhead
- Conversion costs

Question # 10 of 20 (Start time: 10:54:14 AM) Total Marks: 1

Direct material opening inventory add net purchases is called

Select correct option:

- Material consumed
- Material available for use
- Total material purchased
- Material ending inventory

Question # 11 of 20 (Start time: 10:54:38 AM) Total Marks: 1

Costs which are constant for a relevant range of activity and rise to new constant level once that range exceeded is called:

Select correct option:

- A fixed cost
- A variable cost
- A mixed cost
- A step cost

Question # 12 of 20 (Start time: 10:54:59 AM) Total Marks: 1

Which of the following is / are element / s of production payroll?

Select correct option:

- Direct labor force wages
- Administrative wages
- Selling wages
- All of the given options

Question # 13 of 20 (Start time: 10:55:24 AM) Total Marks: 1

Cost of finished goods inventory is calculated by:

Select correct option:

Multiplying units of finished goods inventory with the cost per unit

Dividing units of finished goods inventory with the cost per unit

Dividing per unit cost with finished goods inventory

Deducting total cost from finished goods inventory

Question # 14 of 20 (Start time: 10:55:55 AM) Total Marks: 1

The journal entry of purchase of stock under periodic inventory system would be?

Select correct option:

Inventory to Cash

Cash to Purchases

Purchases to Inventory

None of the given options

Question # 15 of 20 (Start time: 10:56:17 AM) Total Marks: 1

An organisation sold units 4000 and have closing finished goods 3500 units and opening finished goods units were 1000. The quantity of unit produced would be:

Select correct option:

7500 units

6500 units

4500 units

8500 units

Question # 16 of 20 (Start time: 10:57:06 AM) Total Marks: 1

Under Periodic Inventory system Purchase of inventory is treated as:

Select correct option:

Assets

Expense

Income

Liability

Question # 17 of 20 (Start time: 10:57:35 AM) Total Marks: 1

The abbreviation LIFO is:

Select correct option:

Large integrated financial organization

Least interesting financial option

The last in first out method

None of the given options

Question # 18 of 20 (Start time: 10:57:58 AM) Total Marks: 1

Gross pay less deductions represents all except:

Select correct option:

Net pay

Take home pay

Total pay

Other income

Question # 19 of 20 (Start time: 10:58:21 AM) Total Marks: 1

Under LIFO method the value of issues is close to:

Select correct option:

Second hand price

Current market price

Historical cost

All of given options

Question # 20 of 20 (Start time: 10:58:41 AM) Total Marks: 1

EOQ is the order quantity that _____ over our planning horizon
Select correct option:

Minimizes total ordering costs

Minimizes total carrying costs

Minimizes total inventory costs

Minimize the required safety stock

Question # 1 of 15 (Start time: 11:47:54 AM) Total Marks: 1

Which of the following is an example of Statutory deductions:

Select correct option:

Deduction as Income Tax

Deduction as social security

Subscriptions to a trade union

None of the given

Question # 2 of 15 (Start time: 11:48:21 AM) Total Marks: 1

Which of the following is to be called product cost

Select correct option:

Material cost

Labor cost

FOH cost

All of the given options

Question # 3 of 15 (Start time: 11:48:55 AM) Total Marks: 1

The point at which the cost line intersects the sales line will be called:

Select correct option:

Budgeted sales

Break Even sales

Margin of safety

Contribution margin

Question # 4 of 15 (Start time: 11:49:55 AM) Total Marks: 1

In a repeated distribution method:

Select correct option:

Each service department in turn does not re-allocate its costs to all departments

Each service department in turn and re-allocates its costs to all departments

Each service department in turn and allocates its costs to all departments

Only one service department in turn and re-allocates its costs to all departments

Question # 5 of 15 (Start time: 11:50:34 AM) Total Marks: 1

The point at which joint product costs become separately identifiable is known as the:

Select correct option:

Split-off point

Relative sales value point

Joint processing cost

None of the given options

Question # 6 of 15 (Start time: 11:50:56 AM) Total Marks: 1

In cost Accounting, abnormal loss is charged to:

Select correct option:

Factory overhead control account

Work in process account

Income Statement

Entire production

Question # 7 of 15 (Start time: 11:51:33 AM) Total Marks: 1
Contribution margin is the result of which of the following two variables?
Select correct option:

- Sales and variable costs
- Variable and fixed costs
- Sales and Fixed cost
- Sales and operating profit**

Question # 8 of 15 (Start time: 11:52:50 AM) Total Marks: 1
Reduction of labor turnover, accidents, spoilage, waste and absenteeism
are the results of which of the following wage plan?
Select correct option:

- Piece rate plan
- Time rate plan
- Differential plan
- Group bonus system**

Question # 9 of 15 (Start time: 11:53:17 AM) Total Marks: 1
An assumption of CVP analysis is that a change in total costs is caused
because of a change in which of the following factor?
Select correct option:

- Direct labor cost
- The number of units sold**
- Sales commission per unit
- Direct material cost

Question # 10 of 15 (Start time: 11:54:39 AM) Total Marks: 1
Which of the following is true when piece rate system is used for wage
determination?
Select correct option:

worker is paid on the basis of time taken by him to perform the work
worker is paid on the basis of production

Piece rate system is more beneficial than a guaranteed minimum wage system

None of the given options

Question # 11 of 15 (Start time: 11:55:06 AM) Total Marks: 1

_____ is the time worked over and above the employee's basic working week.

Select correct option:

Flex time

Overtime

Shift allowance

Commission

Question # 12 of 15 (Start time: 11:55:47 AM) Total Marks: 1

A cost centre is

Select correct option:

A unit of product or service in relation to which costs are ascertained

An amount of expenditure attributable to an activity

A production or service location, function, activity or item of equipment for which costs are accumulated

A centre for which an individual budget is drawn up

Question # 13 of 15 (Start time: 11:56:18 AM) Total Marks: 1

Under LIFO method the value of issues is close to:

Select correct option:

Second hand price

Current market price

Historical cost

All of given options

Question # 14 of 15 (Start time: 11:56:47 AM) Total Marks: 1

Cost of goods sold can be calculated as follow

Select correct option:

Cost of goods manufactured
Add Opening finished goods inventory
Less Closing finished goods inventory

Cost of goods manufactured
Less Opening finished goods inventory
Less Closing finished goods inventory

Cost of goods manufactured
Less Opening finished goods inventory
Add Closing finished goods inventory

Cost of goods manufactured
Add Opening finished goods inventory
Add Closing finished goods inventory

Question # 15 of 15 (Start time: 11:57:46 AM) Total Marks: 1

By using table method where----- is equal, that point is called Economic order quantity.

Select correct option:

Ordering cost
Carrying cost
Ordering and carrying cost
Per unit order cost

Question # 1 of 20 (Start time: 10:48:48 AM) Total Marks: 1

The flux method of labor turnover denotes:

Select correct option:

Workers appointed against the vacancy caused due to discharge or quitting of the organization

Workers appointed in replacement of existing employees

Workers employed under the expansion schemes of the company

The total change in the composition of labor force

Question # 2 of 20 (Start time: 10:49:18 AM) Total Marks: 1

A store ledger card is similar to the _____ .

Select correct option:

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Bin card

Material card

Purchase requisition card

Question # 3 of 20 (Start time: 10:49:41 AM) Total Marks: 1

Cost accounting concepts include all of the following EXCEPT:

Select correct option:

Planning

Controlling

Sharing

Costing

Question # 4 of 20 (Start time: 10:50:08 AM) Total Marks: 1

Generally, the danger level of stock is fixed _____ the minimum level.

Select correct option:

Below

Above

Equal

Danger level has no relation to minimum level

Question # 5 of 20 (Start time: 10:50:37 AM) Total Marks: 1
Which of the following cost has both features fixed and variable?
Select correct option:

- Step fixed cost
- Fixed cost
- Variable cost
- Semi variable cost**

Question # 6 of 20 (Start time: 10:52:01 AM) Total Marks: 1
Net sales = Sales less:
Select correct option:

- Sales returns
- Sales discounts
- Sales returns & allowances
- Sales returns & allowances and sales discounts**

Question # 7 of 20 (Start time: 10:52:45 AM) Total Marks: 1
All of the following are essential requirements of a good wage system
EXCEPT:
Select correct option:

- Reduced overhead costs
- Reduced per unit variable cost
- Increased production
- Increased operating costs**

Question # 8 of 20 (Start time: 10:53:20 AM) Total Marks: 1
Which of the following would be considered to be an investment centre?
Select correct option:

- Managers have control over marketing
- Management have a sales team
- Management have a sales team and are given a credit control function

Managers can purchase capital assets and are given a credit control function

Question # 9 of 20 (Start time: 10:53:48 AM) Total Marks: 1
All of the following are terms used to denote Factory Overheads
EXCEPT:

Select correct option:

- Factory burden
- Factory expenses
- Manufacturing overhead
- Conversion costs

Question # 10 of 20 (Start time: 10:54:14 AM) Total Marks: 1
Direct material opening inventory add net purchases is called
Select correct option:

- Material consumed
- Material available for use
- Total material purchased
- Material ending inventory

Question # 11 of 20 (Start time: 10:54:38 AM) Total Marks: 1
Costs which are constant for a relevant range of activity and rise to new constant level once that range exceeded is called:
Select correct option:

- A fixed cost
- A variable cost
- A mixed cost
- A step cost

Question # 12 of 20 (Start time: 10:54:59 AM) Total Marks: 1
Which of the following is / are element / s of production payroll?
Select correct option:

Direct labor force wages
Administrative wages
Selling wages
All of the given options

Question # 13 of 20 (Start time: 10:55:24 AM) Total Marks: 1

Cost of finished goods inventory is calculated by:

Select correct option:

Multiplying units of finished goods inventory with the cost per unit
Dividing units of finished goods inventory with the cost per unit
Dividing per unit cost with finished goods inventory
Deducting total cost from finished goods inventory

Question # 14 of 20 (Start time: 10:55:55 AM) Total Marks: 1

The journal entry of purchase of stock under periodic inventory system would be?

Select correct option:

Inventory to Cash
Cash to Purchases
Purchases to Inventory
None of the given options

Question # 15 of 20 (Start time: 10:56:17 AM) Total Marks: 1

An organisation sold units 4000 and have closing finished goods 3500 units and opening finished goods units were 1000. The quantity of unit produced would be:

Select correct option:

7500 units
6500 units
4500 units
8500 units

Question # 16 of 20 (Start time: 10:57:06 AM) Total Marks: 1
Under Periodic Inventory system Purchase of inventory is treated as:
Select correct option:

- Assets
- Expense
- Income
- Liability

Question # 17 of 20 (Start time: 10:57:35 AM) Total Marks: 1
The abbreviation LIFO is:
Select correct option:

- Large integrated financial organization
- Least interesting financial option
- The last in first out method
- None of the given options

Question # 18 of 20 (Start time: 10:57:58 AM) Total Marks: 1
Gross pay less deductions represents all except:
Select correct option:

- Net pay
- Take home pay
- Total pay
- Other income

Question # 19 of 20 (Start time: 10:58:21 AM) Total Marks: 1
Under LIFO method the value of issues is close to:
Select correct option:

- Second hand price

Current market price

Historical cost

All of given options

Question # 20 of 20 (Start time: 10:58:41 AM) Total Marks: 1
EOQ is the order quantity that _____ over our planning horizon
Select correct option:

Minimizes total ordering costs

Minimizes total carrying costs

Minimizes total inventory costs

Minimize the required safety stock

Question # 15 of 15 (Start time: 11:57:46 AM) Total Marks: 1
By using table method where----- is equal, that point is called Economic order quantity.
Select correct option:

Ordering cost

Carrying cost

Ordering and carrying cost

Per unit order cost

Question # 1 of 15 (Start time: 11:22:06 AM)

If, $COGS = Rs. 50,000$ $GP \text{ Margin} = 25\%$ of sales What will be the value of Sales?

Select correct option:

Rs. 200,000

Rs. 66,667

Rs. 62,500

None of the given options

Question # 2 of 15 (Start time: 11:23:08 AM)

Cost accounting concepts include all of the following EXCEPT:

Select correct option:

Planning

Controlling

Sharing

Costing

Question # 3 of 15 (Start time: 11:24:35 AM)

Opening WIP 3500 units that was 70% completed. completed during the month was 19,000 units. Closing WIP 6500 units that was 30% completed. How many units were started during January?

Select correct option:

19,000 units

22,000 units

16,000 units

25,500 units

Question # 4 of 15 (Start time: 11:25:45 AM)

Which of the following best describes piece rate system?

Select correct option:

The increased volume of production results in decreased cost of production

The increased volume of production in minimum time

Establishment of fair standard rates

Higher output is a result of efficient management

Question # 5 of 15 (Start time: 11:26:52 AM)

Cost of goods sold Rs. 30,000, opening Inventory Rs. 9,000, Closing inventory Rs. 7,800. What was the inventory turnover ratio?

Select correct option:

3.57 times

3.67 times

3.85 times

5.36 times

Question # 6 of 15 (Start time: 11:28:12 AM)

Taylor's Differential Piece Rate Plan uses-----piece rates.

Select correct option:

Three

Two

Four

Five

Question # 7 of 15 (Start time: 11:29:07 AM)

When prices are rising over time, which of the following inventory costing methods will result in the lowest gross margin/profits?

Select correct option:

FIFO

LIFO

Weighted Average

Cannot be determined

Question # 8 of 15 (Start time: 11:30:09 AM)

Annual requirement is 7800 units; consumption per week is 150 units.
Unit price Rs 5, order cost Rs 10 per order. Carrying cost Rs 1 per unit
and lead time is 3 week, The Economic order quantity would be:

Select correct option:

395 units

300 units

250 units

150 units

Question # 9 of 15 (Start time: 11:30:53 AM)

Period costs are

Select correct option:

Expensed when the product is sold

Included in the cost of goods sold

Related to specific Period

Not expensed

Question # 10 of 15 (Start time: 11:31:34 AM)

Loss by fire is an example of:

Select correct option:

Normal Loss

Abnormal Loss

Incremental Loss

Can not be determined

Question # 11 of 15 (Start time: 11:32:10 AM)

Examples of industries that would use process costing include all of the
following

EXCEPT:

Select correct option:

Beverages

Food

Hospitality

Petroleum

Question # 12 of 15 (Start time: 11:33:34 AM)

Sales are Rs. 450,000. Beginning finished goods were Rs. 23,000. Ending finished goods are Rs. 30,000. The cost of goods sold is Rs. 300,000. What is the cost of goods manufactured?

Select correct option:

Rs. 323,000

Rs. 330,000

Rs. 293,000

None of the given options

Question # 13 of 15 (Start time: 11:34:40 AM)

Net sales = Sales less:

Select correct option:

Sales returns

Sales discounts

Sales returns & allowances

Sales returns & allowances and sales discounts

Question # 14 of 15 (Start time: 11:35:03 AM)

Which of the following is to be called product cost

Select correct option:

Material cost

Labor cost

FOH cost

All of the given options

Question # 15 of 15 (Start time: 11:35:40 AM)

If labor is satisfied with high wages it may ultimately lead to:

Select correct option:

Increased production and productivity

Increased efficiency

Reduced labor and overhead costs

All of the given options

Question # 1 of 15 (Start time: 11:22:17 AM)

A spending variance for factory overhead is the difference between actual factory overhead cost and factory overhead cost that should have been incurred for actual hours worked and results from:

Select correct option:

Price difference of FOH costs

Quantity differences of FOH costs

Price and quantity differences for FOH costs

Difference caused by production volume var

Question # 2 of 15 (Start time: 11:23:15 AM)

In which of the following way the last month closing inventory figure will be treated?

Select correct option:

As opening inventory of next month

Will not be carried forward

Question # 3 of 15 (Start time: 11:24:32 AM)

The cost of electricity bill of the factory is treated as:

Select correct option:

Fixed cost

Variable cost

Step cost

Semi variable cost

Question # 4 of 15 (Start time: 11:25:37 AM)

Cost accounting concepts include all of the following EXCEPT:

Select correct option:

Planning

Controlling

Sharing

Costing

Question # 5 of 15 (Start time: 11:26:54 AM)

Which of the following is/are reasons of abnormal loss?

Select correct option:

Defective material used

Machine breakdown
Poor workmanships
All of the given

Question # 6 of 15 (Start time: 11:28:13 AM)

Planning for future growth is called:

Select correct option:

Capital budgeting
Working capital management
Financial forecasting
Budgeting

Question # 7 of 15 (Start time: 11:29:10 AM)

Cost of Goods sold budget include(s) all of the following EXCEPT:

Select correct option:

Selling & distribution expenses budget
General & Administrative expenses budget
Production cost budget
Cash budget

Question # 8 of 15 (Start time: 11:30:13 AM)

Costs which are constant for a relevant range of activity and rise to new constant level once that range exceeded is called:

Select correct option:

A fixed cost
A variable cost
A mixed cost

A step cost

Question # 9 of 15 (Start time: 11:31:03 AM)

The appropriate journal entry to transfer the cost of completed units from the Work in Process account would involve a credit to Work in Process and a debit to which of the following accounts?

Select correct option:

Income Summary

Raw Materials Inventory

Finished Goods

Manufacturing Summary

Question # 10 of 15 (Start time: 11:31:36 AM)

Consider the following data for the month of May: Sales 150 units, Opening units 120 units, Closing 80 units Based on the data, production in May will have to be?

Select correct option:

190

120

130

Question # 11 of 15 (Start time: 11:32:37 AM)

The Process of cost apportionment is carried out so that:

Select correct option:

Cost may be controlled

Cost unit gather overheads as they pass through cost centers

Whole items of cost can be charged to cost centers

Common costs are shared among cost centers

Question # 12 of 15 (Start time: 11:33:59 AM)

Examples of industries that would use process costing include all of the following
EXCEPT:

Select correct option:

Beverages

Food

Hospitality

Petroleum

Question # 13 of 15 (Start time: 11:34:40 AM)

The journal entry of purchase of stock under periodic inventory system would be?

Select correct option:

Inventory to Cash

Cash to Purchases

Purchases to Inventory

None of the given options

Question # 14 of 15 (Start time: 11:35:23 AM)

EOQ is a point where:

Select correct option:

Ordering cost is equal to carrying cost

Ordering cost is higher than carrying cost

Ordering cost is lesser than the carrying cost

Total cost is maximum

Question # 15 of 15 (Start time: 11:36:08 AM)

The supervisor salary is treated as:

Select correct option:

Direct labor cost

Indirect labor cost

Conversion cost

None of the given options

Which of the following cost is used in the calculation of cost per unit?

Select correct option:

Total production cost

Cost of goods available for sales

Cost of goods manufactured

Cost of goods Sold

Question # 2 of 15

Which of the following is the best definition of a by-product?

Select correct option:

A by-product is a product arising from a process where the wastage rate is higher than a defined level

A by-product is a product arising from a process where the sales value is insignificant by comparison with that of the main product or products

A by-product is a product arising from a process where the wastage rate is unpredictable

A by-product is a product arising from a process where the sales value is significant by comparison with that of the main product or products

Question # 3 of 15

The abbreviation LIFO is:

Select correct option:

Large integrated financial organization

Least interesting financial option

The last in first out method

None of the given options

Question # 4 of 15

Which of the following statements is/are correct?

Select correct option:

A by-product is a product produced at the same time as other products which has a relatively low volume compared with the other products

Since a by-product is a saleable item it should be separately costed in the process account, and should absorb some of the process costs.

Cost incurred prior to the point of separation are known as common or joint costs.

A by-product is a product produced at the same time as other products which has a relatively high volume compared with the other products.

Question # 5 of 15

Examples of industries that would use process costing include all of the following EXCEPT

Select correct option:

Beverages

Food

Hospitality

Petroleum

Question # 6 of 15

Under LIFO method the value of issues is close to:

Select correct option:

Second hand price

Current market price

Historical cost

All of given options

Question # 7 of 15

Cost of Goods Manufactured can be calculated as follow

Select correct option:

Total factory Cost Add Opening Work in process inventory Less Closing Work in process inventory

Total factory Cost Less Opening Work in process inventory Add Closing Work in process inventory

Total factory Cost Less Opening Work in process inventory Less Closing Work in process inventory

Total factory Cost Add Opening Work in process inventory Add Closing Work in process Inventory

Question # 8 of 15

The Term Maximum Level Represents:

Select correct option:

The maximum stock level indicates the maximum quantity of an item of material which

can be held in stock at any time.

The maximum stock level indicates the maximum quantity of an item of material which cannot be held in stock at any time.

The Average stock level indicates the maximum quantity of an item of material which can be held in stock at any time.

The Available stock level indicate

Question # 9 of 15

Cost accounting department prepares _____ that helps the in preparing final accounts.

Cost sheets

Cost of goods sold statement

Cost of production Report

Question # 10 of 15

The main purpose of cost accounting is to

Select correct option:

Maximize profits

Help in inventory valuation

Provide information to management for decision making

Aid in the fixation of selling price

Question # 11 of 15

The Term Minimum Level Represents.

Select correct option:

This represents the quantity below which the stock of any item should not be allowed to

Fall

This represents the quantity below which the stock of any item should be allowed to fall

This is the estimated time period in number of days or in weeks or in months.

This is the Lead time period in number of days or in weeks or in months.
Question # 12 of 15

Which of the following would be considered to be an investment centre?

Select correct option:

Managers have control over marketing

Management have a sales team

Management have a sales team and are given a credit control function

Managers can purchase capital assets and are given a credit control function

Question # 13 of 15

The components of the prime cost are:

Select correct option:

Direct Material + Direct Labor + Other Direct Cost

Direct Labor + Other Direct Cost + FOH

Direct Labor + FOH

None of the given options

Question # 14 of 15

Which of the following would be considered a major aim of a job order costing system?

Select correct option:

To determine the costs of producing each job or lot

To compute the cost per unit

To include separate records for each job to track the costs

All of the given options

Question # 15 of 15

Select correct option:

worker is not penalized even if his performance does not exceed 80 per cent of the High Task.

worker is not penalized even if his performance does not exceed 70 per cent of the High

Task.

worker is not penalized even if his performance does not exceed 50 per cent of the High

Task.

worker is not penalized even if his performance does not exceed 30 per cent of the High

Task.:

RE: MGT402 Online Quiz#3....All in One (24 to 25 june)

Question # 1 of 15 (Start time: 03:53:53 AM) Total Marks: 1

A chemical process has normal wastage of 5% of input. In a period, 3,500 Kg of material were input and there was no abnormal loss. What quantity of good production was achieved?

Select correct option:

2,175 Kg

2,250 Kg

3,325 Kg

4,425 Kg

Question # 2 of 15 (Start time: 03:54:54 AM) Total Marks: 1

Which of the following is/are not associated with ordering costs?

Select correct option:

Interest

Insurance

Opportunity costs

All of the given options

Question # 3 of 15 (Start time: 03:55:16 AM) Total Marks: 1

Direct materials cost is Rs. 80,000. Direct labor cost is Rs. 60,000.

Factory overhead is Rs. 90,000. Beginning goods in process were Rs.

15,000. The cost of goods manufactured is Rs. 245,000. What is the cost assigned to the ending goods in process?

Select correct option:

Rs. 45,000

Rs. 15,000

Rs. 30,000

There will be no ending Inventory

Question # 4 of 15 (Start time: 03:56:37 AM) Total Marks: 1

A method by which the good used are priced out at average cost is known as:

Select correct option:

BCVO

AVCO

c.FIFO

LIFO

Question # 5 of 15 (Start time: 03:56:55 AM) Total Marks: 1

A standard rate is paid to the employee when he completed his job:

Select correct option:

In time less than the standard

In standard time

In time more than standard

Both in standard time and more than the standard time

Question # 6 of 15 (Start time: 03:57:13 AM) Total Marks: 1

Which of the following is correct?

Select correct option:

Units sold=Opening finished goods units + Units produced - Closing finished goods units

Units Sold = Units produced + Closing finished goods units - Opening finished goods units

Units sold = Sales + Average units of finished goods inventory

Units sold = Sales - Average units of finished goods inventory

Question # 7 of 15 (Start time: 03:57:45 AM) Total Marks: 1

Which of the following is sales force payroll incentive?

Select correct option:

Commission

Shift allowance

Over time payment

Bonus

Question # 8 of 15 (Start time: 03:59:11 AM) Total Marks: 1

Where the applied FOH cost is greater than the actual FOH cost it is:

Select correct option:

Unfavorable variance

Favorable variance

Normal variance

Budgeted variance

Question # 9 of 15 (Start time: 03:59:31 AM) Total Marks: 1

Which of the following statement is correct regarding reasons of variance?

Select correct option:

Difference between capacity level over which overhead absorption rate is calculated & capacity level attained.

Difference between FOH cost budgeted or estimated over which overhead absorption rate and FOH actually incurred.

Difference between the actual level which company achieved and budget level which company determined.

All of the given

Question # 10 of 15 (Start time: 03:59:58 AM) Total Marks: 1

If joint products are to be processed further beyond the point of separation, costs should be assigned to the products on the basis of:

Select correct option:

Adjusted sales value

Ultimate sales value

A physical unit of measure

An engineering analysis

Question # 11 of 15 (Start time: 04:01:06 AM) Total Marks: 1

Gross pay includes which of the following items?

Select correct option:

Basic pay + bonus pay

Overtime payment + shift allowances

Rent and conveyance allowances

All of the given options

Question # 12 of 15 (Start time: 04:02:15 AM) Total Marks: 1

Increase in material Inventory means:

Select correct option:

The ending inventory is greater than opening inventory

The ending inventory is less than opening inventory

Both ending and opening inventories are equal

Can not be determined

Question # 13 of 15 (Start time: 04:02:42 AM) Total Marks: 1

All of the following are cases of labor turnover EXCEPT:

Select correct option:

Workers appointed against the vacancy caused due to discharge or quitting of the organization

Workers employed under the expansion schemes of the company

The total change in the composition of labor force

Workers retrenched

Question # 14 of 15 (Start time: 04:03:00 AM) Total Marks: 1

Byer produced 20,000 units and their total factory cost was Rs.

450,000, other cost like property tax on factory bulding was Rs. 10,000

included in that cost till year ended the cost of per unit would be:

Select correct option:

Rs.22.5

Rs.23.5

Rs.24.5

Rs.26.5

Question # 15 of 15 (Start time: 04:03:20 AM) Total Marks: 1
Alpha company purchased a machine worth Rs 200,000 in the last year. Now that machine can be use in a new project which company has received this year. Now the cost of that machine is to be called:
Select correct option:

Project cost

Sunk cost

Opportunity cost

Relevant cost

Question # 14 of 20 (Start time: 10:45:51 AM)
Which of the following cannot be used as a base for the determination of overhead absorption rate?

Select correct option:

Number of units produced

Prime cost

Conversion cost

Discount Allowed

Question # 1 of 15 (Start time: 05:06:54 AM) Total Marks: 1
EOQ is the order quantity that _____ over our planning horizon
Select correct option:

Minimizes total ordering costs

Minimizes total carrying costs

Minimizes total inventory costs

Minimize the required safety stock

Question # 2 of 15 (Start time: 05:07:22 AM) Total Marks: 1
During the month 12,500 units were completed, 1,500 units remained in work in process at 25 percent completed. How many equivalent units are produced?
Select correct option:

12,125 units
12,500 units
12,875 units
14,250 units

Question # 3 of 15 (Start time: 05:07:53 AM) Total Marks: 1
Direct materials cost is Rs. 80,000. Direct labor cost is Rs. 60,000.
Factory overhead is Rs. 90,000. Beginning goods in process were Rs.
15,000. The cost of goods manufactured is Rs. 245,000. What is the
cost assigned to the ending goods in process?
Select correct option:

Rs. 45,000
Rs. 15,000
Rs. 30,000
There will be no ending Inventory

Question # 4 of 15 (Start time: 05:08:06 AM) Total Marks: 1
Manufacturing entities classified the inventory in which of three kinds?
Select correct option:

Material inventory,WIP inventory,Finished goods inventory
Material inventory,purchased good inventory,WIP inventory
Material inventory,purchased good inventory,Finished goods inventory
WIP inventory,Finished goods inventory,purchased good inventory

Question # 5 of 15 (Start time: 05:08:29 AM) Total Marks: 1
Which of the following is indirect cost?
Select correct option:

The depreciation of machinery
The overtime premium incurred at the specific request of a customer
The hire of tools for a specific job
All of the given options

Question # 6 of 15 (Start time: 05:09:17 AM) Total Marks: 1
Which of the following costs is part of the prime cost for manufacturing
company?

Select correct option:

Cost of transporting raw materials from the suppliers premises

Wages of factory workers engaged in machine maintenance

Depreciation of truck used for deliveries to customers

Cost of indirect production materials

Question # 7 of 15 (Start time: 05:09:39 AM) Total Marks: 1

Differential cost has the behavior of ?

Select correct option:

Fixed cost

Step cost

Variable/semi variable cost

All of the given options

Question # 8 of 15 (Start time: 05:09:57 AM) Total Marks: 1

In furniture manufacturing use of nail, pins, glue, and polish which use to increase its esteem value that cost is treated as:

Select correct option:

Direct material cost

Indirect material cost

FOH cost

Prime cost

Question # 9 of 15 (Start time: 05:10:16 AM) Total Marks: 1

All of the following are cases of labor turnover EXCEPT:

Select correct option:

Workers appointed against the vacancy caused due to discharge or quitting of the organization

Workers employed under the expansion schemes of the company

The total change in the composition of labor force

Workers retrenched

Question # 10 of 15 (Start time: 05:10:25 AM) Total Marks: 1

Which of the following statements is/are correct?

Select correct option:

A by-product is a product produced at the same time as other products which has a relatively low volume compared with the other products. Since a by-product is a saleable item it should be separately costed in the process account, and should absorb some of the process costs.

Cost incurred prior to the point of separation are known as common or joint costs.

A by-product is a product produced at the same time as other products which has a relatively high volume compared with the other products.

Question # 11 of 15 (Start time: 05:11:52 AM) Total Marks: 1

When 10,000 ending units of work-in-process are 30% completed as to conversion, it means:

Select correct option:

30% of the units are completed

70% of the units are completed

Each unit has been completed to 70% of its final stage

Each of the unit is 30% completed

Question # 12 of 15 (Start time: 05:12:28 AM) Total Marks: 1

Merrick Differential system uses----- rates.

Select correct option:

Two

Three

Four

Five

Question # 13 of 15 (Start time: 05:12:50 AM) Total Marks: 1

Examples of industries that would use process costing include all of the following EXCEPT:

Select correct option:

Beverages

Food

Hospitality

Petroleum

Question # 14 of 15 (Start time: 05:14:14 AM) Total Marks: 1

The main difference between the profit center and investment center is:

Select correct option:

Decision making

Revenue generation

Cost incurrence

Investment

Question # 15 of 15 (Start time: 05:14:47 AM) Total Marks: 1

While calculating the EOQ, number of orders is calculated by:

Select correct option:

Multiplying the required units with cost per order

Dividing required unit by ordered quantity

Multiplying the required units with ordered quantity

Multiplying the ordered quantity with cost per order

Question # 2 of 20 (Start time: 10:42:29 AM)

The component of Factory overhead are as follow

Select correct option:

Direct material + Indirect material + Direct expences

Indirect material + Indirect labor + Others indirect cost

Direct material + Indirect expences + Indirect labor

Direct labor + Indirect labor + Indirect expences

Question # 4 of 20 (Start time: 10:43:33 AM)

Overtime that is necessary in order to fulfill customer orders is called:

Select correct option:

Avoidable overtime

Unavoidable overtime

Premium Overtime

Flex time

Question # 1 of 15 (Start time: 05:57:29 AM) Total Marks: 1
Of the following manufacturing operations, which is the best suited to the utilization of a job order system?
Select correct option:

Soft drink bottling operation

Crude oil refining

Plastic molding operation

Cement Production

Question # 2 of 15 (Start time: 05:58:15 AM) Total Marks: 1
A method by which the good used are priced out at average cost is known as:
Select correct option:

BCVO

AVCO

c.FIFO

LIFO

Question # 3 of 15 (Start time: 05:58:37 AM) Total Marks: 1
Which of the following is the best definition of a by-product?
Select correct option:

A by-product is a product arising from a process where the wastage rate is higher than a defined level

A by-product is a product arising from a process where the sales value is insignificant by comparison with that of the main product or products

A by-product is a product arising from a process where the wastage rate is unpredictable

A by-product is a product arising from a process where the sales value is significant by comparison with that of the main product or products

Question # 4 of 15 (Start time: 06:00:02 AM) Total Marks: 1
The difference over the period of time between actual and applied FOH will usually be minimal when the predetermined overhead rate is based on:
Select correct option:

Normal capacity

Designed capacity

Direct Labor hours

Machine hours

Question # 5 of 15 (Start time: 06:01:28 AM) Total Marks: 1

Weighted average cost per unit is calculated by which of the following formula?

Select correct option:

Cost of goods issued/number of units issued

Total cost/total units

Cost of goods manufactured/closing units

Cost of goods sold/total units

Question # 6 of 15 (Start time: 06:02:02 AM) Total Marks: 1

Direct materials cost is Rs. 80,000. Direct labor cost is Rs. 60,000.

Factory overhead is Rs. 90,000. Beginning goods in process were Rs.

15,000. The cost of goods manufactured is Rs. 245,000. What is the cost assigned to the ending goods in process?

Select correct option:

Rs. 45,000

Rs. 15,000

Rs. 30,000

There will be no ending Inventory

Question # 7 of 15 (Start time: 06:02:09 AM) Total Marks: 1

A chemical process has normal wastage of 10% of input. In a period,

2,500 Kg of material were input and there was abnormal loss of 75 Kg.

What quantity of good production was achieved?

Select correct option:

2,175 kg

2,250 kg

2,425 kg

2,500 kg

Question # 8 of 15 (Start time: 06:02:42 AM) Total Marks: 1

If opening inventory of material is Rs.20,000 and closing inventory is Rs. 40,000.the Average inventory amount will be:

Select correct option:

Rs. 40,000

Rs. 30,000

Rs. 20,000

Rs. 10,000

Question # 9 of 15 (Start time: 06:03:04 AM) Total Marks: 1

Gross pay less deductions represents all except:

Select correct option:

Net pay

Take home pay

Total pay

Other income

Question # 10 of 15 (Start time: 06:04:21 AM) Total Marks: 1

The journal entry of purchase of stock under periodic inventory system would be?

Select correct option:

Inventory to Cash

Cash to Purchases

Purchases to Inventory

None of the given options

Question # 11 of 15 (Start time: 06:05:15 AM) Total Marks: 1

Which of the following is sales force payroll incentive?

Select correct option:

Commission

Shift allowance

Over time payment

Bonus

Question # 12 of 15 (Start time: 06:05:24 AM) Total Marks: 1

A chemical process has normal wastage of 5% of input. In a period, 3,500 Kg of material were input and there was no abnormal loss. What quantity of good production was achieved?

Select correct option:

2,175 Kg

2,250 Kg

3,325 Kg

4,425 Kg

Question # 13 of 15 (Start time: 06:05:33 AM) Total Marks: 1

Where the applied FOH cost is greater than the actual FOH cost it is:

Select correct option:

Unfavorable variance

Favorable variance

Normal variance

Budgeted variance

Question # 14 of 15 (Start time: 06:05:50 AM) Total Marks: 1

Which of the following is / are element / s of production payroll?

Select correct option:

Direct labor force wages

Administrative wages

Selling wages

All of the given options

Question # 15 of 15 (Start time: 06:06:12 AM) Total Marks: 1

In the operations of a plastic toy manufacturer, the cost per equivalent unit is calculated as Rs. 1.60. The equivalent units of output are 50,000. The closing stock is 10,000 units, 40% complete. What will be the value of closing stock?

Select correct option:

Rs. 9,600

Rs. 80,000

Rs. 16,000

Rs. 6,400

Question # 1 of 15 (Start time: 11:07:46 PM) Total Marks: 1

Which of the following statement measures the financial position of the entity on particular time?

Select correct option:

Income Statement

Balance Sheet

Cash Flow Statement

Statement of Retained Earning

Question # 2 of 15 (Start time: 11:08:05 PM) Total Marks: 1

The Inventory Turn over ration is 5 times and numbers of days in a year is 365. Inventory holding period in days would be

Select correct option:

100 days

73 days

50 days

10 days

Question # 3 of 15 (Start time: 11:08:51 PM) Total Marks: 1

Direct material opening inventory add net purchases is called

Select correct option:

Material consumed

Material available for use

Total material purchased

Material ending inventory

Question # 4 of 15 (Start time: 11:09:26 PM) Total Marks: 1

A store ledger card is similar to the _____ .

Select correct option:

Stock ledger

Bin card

Material card

Purchase requisition card

Question # 5 of 15 (Start time: 11:09:54 PM) Total Marks: 1

In a repeated distribution method:

Select correct option:

Each service department in turn does not re-allocate its costs to all departments

Each service department in turn and re-allocates its costs to all departments

Each service department in turn and allocates its costs to all departments

Only one service department in turn and re-allocates its costs to all departments

Question # 6 of 15 (Start time: 11:10:25 PM) Total Marks: 1

The appropriate journal entry to transfer the cost of completed units from the Work in Process account would involve a credit to Work in Process and a debit to which of the following accounts?

Select correct option:

Income Summary

Raw Materials Inventory

Finished Goods

Manufacturing Summary

Question # 7 of 15 (Start time: 11:11:00 PM) Total Marks: 1

When two products are manufactured during a common process, the factor that determine whether the products are joint product or one main product and one is by product is the:

Select correct option:

Potential marketability for each product

Amount of work expended in the production of each product

Relative total sales value of each product

Management policy

Question # 8 of 15 (Start time: 11:11:45 PM) Total Marks: 1

Annual requirement is 7800 units; consumption per week is 150 units.

Unit price Rs 5, order cost Rs 10 per order. Carrying cost Rs 1 per unit and lead time is 3 week, The Economic order quantity would be:

Select correct option:

395 units

300 units
250 units
150 units

Question # 9 of 15 (Start time: 11:12:47 PM) Total Marks: 1

Which of the following items of expense are to be add in FOH cost

Select correct option:

Rent of factory + Head office rent + salaries to factory watchman

Rent of factory + factory lighting bill + Directors salaries

Rent of factory + factory lighting bill + Factory employees salaries

Head office rent + Factory property tax + Factory small tools

Question # 10 of 15 (Start time: 11:13:45 PM) Total Marks: 1

Which of the following is the best definition of joint products?

Select correct option:

Joint products are two or more products arising from a process, one of which has a significant sales value

Joint products are the output of a joint venture of two companies, sharing overhead costs equally

Joint products are the output of a joint venture of two companies, where one company agrees to bear all the overhead costs

Joint products are two or more products arising from a process, each of which has a significant sales value

Question # 11 of 15 (Start time: 11:14:15 PM) Total Marks: 1

Over applied FOH will always result when a predetermined FOH rate is applied and:

Select correct option:

Production is greater than defined capacity

Actual overhead costs are less than budgeted overhead

Budgeted capacity is less than normal capacity

Actual overhead incurred is less than applied Overhead

Question # 12 of 15 (Start time: 11:14:54 PM) Total Marks: 1

The flux method of labor turnover denotes:

Select correct option:

Workers appointed against the vacancy caused due to discharge or quitting of the organization

Workers appointed in replacement of existing employees

Workers employed under the expansion schemes of the company
The total change in the composition of labor force

Question # 13 of 15 (Start time: 11:15:41 PM) Total Marks: 1
The difference over the period of time between actual and applied FOH will usually be minimal when the predetermined overhead rate is based on:

Select correct option:

Normal capacity

Designed capacity

Direct Labor hours

Machine hours

Question # 14 of 15 (Start time: 11:16:28 PM) Total Marks: 1
In furniture manufacturing use of nail, pins, glue, and polish which use to increase its esteem value that cost is treated as:

Select correct option:

Direct material cost

Indirect material cost

FOH cost

Prime cost

Question # 15 of 15 (Start time: 11:16:55 PM) Total Marks: 1
Which of the following loss is expected in manufacturing process and represents a necessary cost of processing the marketable units?

Select correct option:

Operating loss

Abnormal loss

Normal loss

Extraordinary loss

Question # 1 of 15 (Start time: 10:52:11 PM) Total Marks: 1
The FIFO inventory costing method (when using a perpetual inventory system) assumes that the cost of the earliest units purchased is allocated in which of the following ways?

Select correct option:

First to be allocated to the ending inventory

Last to be allocated to the cost of goods sold

Last to be allocated to the ending inventory

First to be allocated to the cost of good sold

Question # 2 of 15 (Start time: 10:53:09 PM) Total Marks: 1

Which of the following is the best definition of joint products?

Select correct option:

Joint products are two or more products arising from a process, one of which has a significant sales value

Joint products are the output of a joint venture of two companies, sharing overhead costs equally

Joint products are the output of a joint venture of two companies, where one company agrees to bear all the overhead costs

Joint products are two or more products arising from a process, each of which has a significant sales value

Question # 3 of 15 (Start time: 10:53:45 PM) Total Marks: 1

Which of the following best describes the manufacturing costs?

Select correct option:

Direct materials, direct labor and factory overhead

Direct materials and direct labor

Direct materials, direct labor, factory overhead, and administrative overhead

Direct labor and factory overhead

Question # 4 of 15 (Start time: 10:54:35 PM) Total Marks: 1

When two products are manufactured during a common process, the factor that determine whether the products are joint product or one main product and one is by product is the:

Select correct option:

Potential marketability for each product

Amount of work expended in the production of each product

Relative total sales value of each product

Management policy

Question # 5 of 15 (Start time: 10:55:39 PM) Total Marks: 1
Direct materials cost is Rs. 80,000. Direct labor cost is Rs. 60,000.
Factory overhead is Rs. 90,000. Beginning goods in process were Rs.
15,000. The cost of goods manufactured is Rs. 245,000. What is the
cost assigned to the ending goods in process?

Select correct option:

Rs. 45,000

Rs. 15,000

Rs. 30,000

There will be no ending Inventory

Question # 6 of 15 (Start time: 10:56:24 PM) Total Marks: 1
If a predetermined FOH rate is not applied and the volume of
production is reduced from the planned capacity level, the cost per unit
expected to:

Select correct option:

Remain unchanged for fixed cost and increase for variable cost

Increase for fixed cost and remain unchanged for variable cost

Increase for fixed cost and decrease for variable cost

Decrease for both fixed and variable costs

Question # 7 of 15 (Start time: 10:57:28 PM) Total Marks: 1
PVC company has ordering quantity 10,000 units.They have storage
capacity 20,000 units,The average inventory would be:

Select correct option:

20,000

5,000

10,000

25,000

Question # 8 of 15 (Start time: 10:58:53 PM) Total Marks: 1
Which of the following statements concerning job order costing systems
is incorrect?

Select correct option:

Cost drivers are those items which cause actual overhead to exceed applied overhead

Job order costing systems are appropriate to both manufacturing and service businesses

Traditionally, direct labor has been a very popular overhead application base

In a service business, indirect costs of providing a service are treated as overhead and applied in a manner similar to that for factory overhead

Question # 9 of 15 (Start time: 11:00:19 PM) Total Marks: 1

Store incharge after receiving the material as per the goods received note, places the material at its location and makes an entry in_____ .

Select correct option:

Bin Card

Store Ledger Card

Stock Ledger

None of the given options

Question # 10 of 15 (Start time: 11:00:50 PM) Total Marks: 1

In furniture manufacturing use of nail, pins, glue, and polish which use to increase its esteem value that cost is treated as:

Select correct option:

Direct material cost

Indirect material cost

FOH cost

Prime cost

Question # 11 of 15 (Start time: 11:01:05 PM) Total Marks: 1

When FOH is under applied and charged to Net profit , the treatment would be:

Select correct option:

Under applied Add net profit

Under applied Less net profit

Under applied Less operating expense
None of the given options

Question # 12 of 15 (Start time: 11:02:17 PM) Total Marks: 1
Cost accounting concepts include all of the following EXCEPT:
Select correct option:

Planning
Controlling
Sharing
Costing

Question # 13 of 15 (Start time: 11:02:46 PM) Total Marks: 1
A store ledger card is similar to the _____.
Select correct option:

Stock ledger
Bin card
Material card
Purchase requisition card

Question # 14 of 15 (Start time: 11:03:41 PM) Total Marks: 1
In which of the following would there be a difference between financial and managerial accounting?
Select correct option:

Users of the information
Purpose of the information
Flexibility of practices
All of the given options

Question # 15 of 15 (Start time: 11:04:25 PM) Total Marks: 1
What will be the impact of normal loss on the overall per unit cost?
Select correct option:

Per unit cost will increase
Per unit cost will decrease

Per unit cost remain unchanged
Normal loss has no relation to unit cost

Question # 1 of 15 Which of the following is the best definition of joint products?

Select correct option:

Joint products are two or more products arising from a process, one of which has a significant sales value

Joint products are the output of a joint venture of two companies, sharing overhead costs equally

Joint products are the output of a joint venture of two companies, where one company agrees to bear all the overhead costs

Joint products are two or more products arising from a process, each of which has a significant sales value

Question # 2 of 15 In comparing common cost and joint cost:
Select correct option:

The terms can be correctly used interchangeably
Both have the same objective of assigning production cost to cost center

They differ since common cost products or services have been obtained separately

Common cost is sometime used as Joint cost

Question # 3 of 15 Which of the following statement measures the financial position of the entity on particular time?

Select correct option:

Income Statement

Balance Sheet

Cash Flow Statement
Statement of Retained Earning

Question # 6 of 15

In the operations of a plastic toy manufacturer, the cost per equivalent unit is calculated as Rs. 1.60. The equivalent units of output are 50,000. The closing stock is 10,000 units, 40% complete. What will be the value of closing stock?

Select correct option:

- Rs. 9,600
- Rs. 80,000
- Rs. 16,000
- Rs. 6,400**

Question # 7 of 15 A standard rate is paid to the employee when he completed his job:

Select correct option:

- In time less than the standard
- In standard time
- In time more than standard
- Both in standard time and more than the standard time**

Question # 8 of 15 During the month 12,500 units were completed, 1,500 units remained in work in process at 25 percent completed. How many equivalent units are produced?

Select correct option:

- 12,125 units
- 12,500 units
- 12,875 units**
- 14,250 units

Question # 9 of 15 Which of the following cannot be used as a base for the determination of overhead absorption rate?

Select correct option:

Number of units produced

Prime cost

Conversion cost

Discount Allowed

Question # 11 of 15 Working hours of labor can be calculated with the help of all except:

Select correct option:

Smart card

Time sheet

Clock card

Store card

Question # 13 of 15 The Process of cost apportionment is carried out so that:

Select correct option:

Cost may be controlled

Cost unit gather overheads as they pass through cost centers

Whole items of cost can be charged to cost centers

Common costs are shared among cost centers

Question # 14 of 15 A method by which the good used are priced out at average cost is known as:

Select correct option:

BCVO

AVCO

FIFO

LIFO

Question # 15 of 15

opening WIP 3500 units that was 70% completed. completed during the month was 19,000 units. Closing WIP 6500 units that was 30% completed. How many units were started during January?

Select correct option:

19,000 units

22,000 units

16,000 units

25,500 units

Question # 1 of 15 (Start time: 04:10:15 AM) Total Marks: 1

Which of the following is the best characteristic of a by product:

Select correct option:

Is produced from material that would otherwise be of no value

Has a lower selling price than the main product

Is created along with the main product, but its sales value does not cover its production cost

Usually produces a smaller amount of revenue than the main product

Question # 2 of 15 (Start time: 04:11:36 AM) Total Marks: 1

When prices are rising over time, which of the following inventory costing methods will result in the lowest gross margin/profits?

Select correct option:

FIFO

LIFO

Weighted Average

Cannot be determined

Question # 3 of 15 (Start time: 04:11:59 AM) Total Marks: 1

Cost of goods sold can be calculated as follow

Select correct option:

Cost of goods manufactured Add Opening finished goods inventory Less Closing finished goods inventory

Cost of goods manufactured Less Opening finished goods inventory Less Closing finished goods inventory

Cost of goods manufactured Less Opening finished goods inventory Add Closing finished goods inventory

Cost of goods manufactured Add Opening finished goods inventory Add

Closing finished goods inventory

Question # 4 of 15 (Start time: 04:12:16 AM) Total Marks: 1

A chemical process has normal wastage of 10% of input. In a period, 2,500 Kg of material were input and there was abnormal loss of 75 Kg. What quantity of good production was achieved?

Select correct option:

2,175 kg

2,250 kg

2,425 kg

2,500 kg

Question # 5 of 15 (Start time: 04:12:35 AM) Total Marks: 1

Which of the following is correct for maximum level?

Select correct option:

Reorder level - (Minimum consumption x Lead time) + EOQ

(Maximum consumption x Lead time) - (Minimum consumption x Lead time) + EOQ

[(Maximum consumption - Minimum consumption) Lead time] + EOQ

All of the given options

Question # 6 of 15 (Start time: 04:12:56 AM) Total Marks: 1

Which of the following is NOT true about job order cost sheets?

Select correct option:

Job cost sheets contain direct material costs

Job cost sheets contain actual amounts of factory overhead

Job cost sheet does not contain conversion cost

Job cost sheets contain direct labor costs

Question # 7 of 15 (Start time: 04:13:19 AM) Total Marks: 1

Increase in material Inventory means:

Select correct option:

The ending inventory is greater than opening inventory

The ending inventory is less than opening inventory

Both ending and opening inventories are equal
Can not be determined

Question # 8 of 15 (Start time: 04:13:37 AM) Total Marks: 1

Which of the following cannot be used as a base for the determination of overhead absorption rate?

Select correct option:

Number of units produced

Prime cost

Conversion cost

Discount Allowed

Question # 9 of 15 (Start time: 04:13:56 AM) Total Marks: 1

Net sales = Sales less:

Select correct option:

Sales returns

Sales discounts

Sales returns & allowances

Sales returns & allowances and sales discounts

Question # 10 of 15 (Start time: 04:14:16 AM) Total Marks: 1

The Process of cost apportionment is carried out so that:

Select correct option:

Cost may be controlled

Cost unit gather overheads as they pass through cost centers

Whole items of cost can be charged to cost centers

Common costs are shared among cost centers

Question # 11 of 15 (Start time: 04:14:33 AM) Total Marks: 1

Which of the following is/are reported in production cost report?

Select correct option:

The costs charged to the department

How the costs were assigned to the output?

The equivalent units of production by the department

All of the given options

Question # 12 of 15 (Start time: 04:15:04 AM) Total Marks: 1

Costs which are constant for a relevant range of activity and rise to new constant level once that range exceeded is called:

Select correct option:

A fixed cost

A variable cost

A mixed cost

A step cost

Question # 13 of 15 (Start time: 04:15:14 AM) Total Marks: 1

Differential cost has the behavior of ?

Select correct option:

Fixed cost

Step cost

Variable/semi variable cost

All of the given options

Question # 14 of 15 (Start time: 04:15:31 AM) Total Marks: 1

The Process of cost apportionment is carried out so that:

Select correct option:

Cost may be controlled

Cost unit gather overheads as they pass through cost centers

Whole items of cost can be charged to cost centers

Common costs are shared among cost centers

Question # 15 of 15 (Start time: 04:15:53 AM) Total Marks: 1

"Taking steps for the fresh purchase of those stocks which have been exhausted and for which requisitions are to be honored in future" is an easy explanation of:

Select correct option:

Overstocking

Under stocking

Replenishment of stock

Acquisition of stock

Question # 18 of 20 (Start time: 10:47:33 AM)

If, $COGS = Rs. 70,000$ $GP \text{ Margin} = 30\%$ of sales What will be the value of Sales?

Select correct option:

Rs. 200,000

Rs. 66,667

Rs. 100,000

Rs. 62,500

Question # 20 of 20 (Start time: 10:48:44 AM)

The Economic order quantity can be calculated by:

Select correct option:

Formula Method

Table Method

Graph Method

All of the given

Question # 1 of 15 (Start time: 04:29:30 AM) Total Marks: 1

The FIFO inventory costing method (when using a perpetual inventory system) assumes that the cost of the earliest units purchased is allocated in which of the following ways?

Select correct option:

First to be allocated to the ending inventory

Last to be allocated to the cost of goods sold

Last to be allocated to the ending inventory

First to be allocated to the cost of good sold

Question # 2 of 15 (Start time: 04:29:50 AM) Total Marks: 1

All Indirect cost is charged/record in the head of

Select correct option:

Prime cost

FOH cost

Direct labor cost

None of the given options

Question # 3 of 15 (Start time: 04:30:11 AM) Total Marks: 1

A company has calculated that volume variance for a given month was unfavorable. This could have been caused by which of the following factors?

Select correct option:

The number of rejected units was higher than normal

Machine breakdowns were higher than normal

Delays were experienced in the issuing of material to production

All of the given options

Question # 4 of 15 (Start time: 04:30:19 AM) Total Marks: 1

Production volume of 1,200 units cost incurred Rs. 10,000 and production volume of 1,400 units cost incurred Rs.20, 000. The variable cost per unit would be?

Select correct option:

Rs. 50.00 per unit

Rs. 8.33 per unit

Rs. 14.20 per unit

Rs. 100 per unit

Question # 5 of 15 (Start time: 04:30:30 AM) Total Marks: 1

Examples of industries that would use process costing include all of the following EXCEPT:

Select correct option:

Beverages

Food

Hospitality

Petroleum

Question # 6 of 15 (Start time: 04:30:37 AM) Total Marks: 1

All of the following are essential requirements of a good wage system EXCEPT:

Select correct option:

Reduced overhead costs
Reduced per unit variable cost
Increased production
Increased operating costs

Question # 7 of 15 (Start time: 04:31:03 AM) Total Marks: 1
In the process costing when labor is charged to production department-
I. What would be the journal entry Passed?
Select correct option:

Payroll a/c To W.I.P (Dept-I)
Payroll a/c To W.I.P (Dept-II)
W.I.P (Dept-I) To Payroll a/c
W.I.P (Dept-II) To Payroll a/c

Question # 8 of 15 (Start time: 04:32:15 AM) Total Marks: 1
Which of the following is/are reported in production cost report?
Select correct option:

The costs charged to the department
How the costs were assigned to the output?
The equivalent units of production by the department
All of the given options

Question # 9 of 15 (Start time: 04:32:23 AM) Total Marks: 1
Taylor's Differential Piece Rate Plan uses-----piece rates.
Select correct option:

Three
Two
Four
Five

Question # 10 of 15 (Start time: 04:32:31 AM) Total Marks: 1
The Inventory Turn over ration is 5 times and numbers of days in a year is 365.Inventory holding period in days would be
Select correct option:

100 days

73 days

50 days

10 days

Question # 11 of 15 (Start time: 04:32:38 AM) Total Marks: 1
Which of the following items of expense are to be add in FOH cost
Select correct option:

Rent of factory + Head office rent + salaries to factory watchman

Rent of factory + factory lighting bill + Directors salaries

Rent of factory + factory lighting bill + Factory employees salaries

Head office rent + Factory property tax + Factory small tools

Question # 12 of 15 (Start time: 04:32:45 AM) Total Marks: 1
All of the following are terms used to denote Factory Overheads
EXCEPT:

Select correct option:

Factory burden

Factory expenses

Manufacturing overhead

Conversion costs

Question # 13 of 15 (Start time: 04:34:00 AM) Total Marks: 1
_____ are future costs that effect the current management
decision.

Select correct option:

Sunk Cost

Standard Cost

Relevant Cost

Irrelevant Cost

Question # 14 of 15 (Start time: 04:34:20 AM) Total Marks: 1
If computational and record-keeping costs are same under both FIFO
and weighted average, which of the following method will generally be
preferred?

Select correct option:

Weighted Average

FIFO

Hybrid process

Cannot be determined with so little information

Question # 15 of 15 (Start time: 04:35:44 AM) Total Marks: 1

Under/Over applied FOH cost can be adjusted in which of the following:

Select correct option:

Entire Production

Cost of Good sold

Net Profit

All of given options

Question # 6 of 20 (Start time: 10:16:10 AM)

While deducting Income Tax from the gross pay of the employee, the employer acts as a

(an) _____ for Income Tax Department.

Select correct option:

Agent of his own Company

Paid tax collection agent

Unpaid tax collection agent

None of the given options

Question # 1 of 15 (Start time: 04:48:26 AM) Total Marks: 1

The supervisor salary is treated as:

Select correct option:

Direct labor cost

Indirect labor cost

Conversion cost

None of the given options

Question # 2 of 15 (Start time: 04:48:35 AM) Total Marks: 1

The flux method of labor turnover denotes:

Select correct option:

Workers appointed against the vacancy caused due to discharge or quitting of the organization

Workers appointed in replacement of existing employees

Workers employed under the expansion schemes of the company

The total change in the composition of labor force

Question # 3 of 15 (Start time: 04:48:55 AM) Total Marks: 1

In furniture manufacturing use of nail, pins, glue, and polish which use to increase its esteem value that cost is treated as:

Select correct option:

Direct material cost

Indirect material cost

FOH cost

Prime cost

Question # 4 of 15 (Start time: 04:49:02 AM) Total Marks: 1

If, Sales = Rs. 600,000 Markup = 20% of cost What would be the value of Gross profit?

Select correct option:

Rs. 200,000

Rs. 100,000

Rs. 580,000

Rs. 740,000

Question # 5 of 15 (Start time: 04:49:09 AM) Total Marks: 1

Gross pay less deductions represents all except:

Select correct option:

Net pay

Take home pay

Total pay

Other income

Question # 6 of 15 (Start time: 04:49:42 AM) Total Marks: 1

Taylor's Differential Piece Rate Plan uses-----piece rates.
Select correct option:

Three

Two

Four

Five

Question # 7 of 15 (Start time: 04:49:49 AM) Total Marks: 1
If computational and record-keeping costs are same under both FIFO and weighted average, which of the following method will generally be preferred?

Select correct option:

Weighted Average

FIFO

Hybrid process

Cannot be determined with so little information

Question # 8 of 15 (Start time: 04:50:09 AM) Total Marks: 1

Which of the following is NOT true about job order cost sheets?

Select correct option:

Job cost sheets contain direct material costs

Job cost sheets contain actual amounts of factory overhead

Job cost sheet does not contain conversion cost

Job cost sheets contain direct labor costs

Question # 9 of 15 (Start time: 04:50:18 AM) Total Marks: 1

Amount of net purchase can be calculated as follow

Select correct option:

Purchase of direct material add trade discount less purchase return add carriage inward less other material handling cost

Purchase of direct material less trade discount I add purchase return add carriage inward less other material handling cost

Purchase of direct material less trade discount less purchase return less carriage inward add other material handling cost

Purchase of direct material less trade discount less purchase return add carriage inward add other material handling cost

Question # 10 of 15 (Start time: 04:51:42 AM) Total Marks: 1
Under/Over applied FOH cost can be adjusted in which of the following:
Select correct option:

Entire Production

Cost of Good sold

Net Profit

All of given options

Question # 11 of 15 (Start time: 04:51:52 AM) Total Marks: 1
Which of the following is considered as basic systems of remunerating labor?

Select correct option:

Time rate system

Piece rate system

Halsey Premium plan

Both time rate and piece rate system

Question # 12 of 15 (Start time: 04:52:08 AM) Total Marks: 1
Reduction of labor turnover, accidents, spoilage, waste and absenteeism are the results of which of the following wage plan?

Select correct option:

Piece rate plan

Time rate plan

Differential plan

Group bonus system

Question # 13 of 15 (Start time: 04:52:50 AM) Total Marks: 1
A chemical process has normal wastage of 5% of input. In a period, 3,500 Kg of material were input and there was no abnormal loss. What quantity of good production was achieved?

Select correct option:

- 2,175 Kg
- 2,250 Kg
- 3,325 Kg
- 4,425 Kg

Question # 14 of 15 (Start time: 04:52:59 AM) Total Marks: 1
Which of the following is correct?
Select correct option:

Units sold=Opening finished goods units + Units produced - Closing finished goods units

Units Sold = Units produced + Closing finished goods units - Opening finished goods units

Units sold = Sales + Average units of finished goods inventory

Units sold = Sales - Average units of finished goods inventory

Question # 15 of 15 (Start time: 04:53:06 AM) Total Marks: 1
A high inventory turnover may indicate:
Select correct option:

An efficient use of the investment in inventory

A high risk of stock-outs

Stock position of store room

All of the given options

Question # 1 of 15 (Start time: 05:09:38 AM) Total Marks: 1
If a predetermined FOH rate is not applied and the volume of production is reduced from the planned capacity level, the cost per unit expected to:
Select correct option:

Remain unchanged for fixed cost and increase for variable cost

Increase for fixed cost and remain unchanged for variable cost

Increase for fixed cost and decrease for variable cost

Decrease for both fixed and variable costs

Question # 2 of 15 (Start time: 05:10:01 AM) Total Marks: 1
Period costs are

Select correct option:

Expensed when the product is sold

Included in the cost of goods sold

Related to specific Period

Not expensed

Question # 3 of 15 (Start time: 05:10:18 AM) Total Marks: 1

Under/Over applied FOH cost can be adjusted in which of the following:

Select correct option:

Entire Production

Cost of Good sold

Net Profit

All of given options

Question # 4 of 15 (Start time: 05:10:25 AM) Total Marks: 1

FOH absorption rate is calculated by the way of

Select correct option:

Estimated FOH Cost/Direct labor hours

Estimated FOH Cost/No of units produced

Estimated FOH Cost/Prime Cost

All of the given options

Question # 5 of 15 (Start time: 05:10:43 AM) Total Marks: 1

The abbreviation LIFO is:

Select correct option:

Large integrated financial organization

Least interesting financial option

The last in first out method

None of the given options

Question # 6 of 15 (Start time: 05:11:05 AM) Total Marks: 1

Weighted average cost per unit is calculated by which of the following formula?

Select correct option:

Cost of goods issued/number of units issued

Total cost/total units

Cost of goods manufactured/closing units

Cost of goods sold/total units

Question # 7 of 15 (Start time: 05:11:13 AM) Total Marks: 1

A Blanket Rate is:

Select correct option:

A single rate which used throughout the organisation departments

A double rates which used throughout the organisation departments

A single rates which used in different departments of the organisation

None of the given options

Question # 8 of 15 (Start time: 05:11:20 AM) Total Marks: 1

A worker is paid Rs. 0.50 per unit and he produces 18 units in 7 hours.

Keeping in view the piece rate system, the total wages of the worker would be:

Select correct option:

$18 \times 7 \times 0.50 = \text{Rs. } 63$

$18 \times 0.50 = \text{Rs. } 9$

$18 \times 7 = \text{Rs. } 126$

$7 \times 0.5 = \text{Rs. } 3.5$

Question # 9 of 15 (Start time: 05:11:39 AM) Total Marks: 1

Which of the following is indirect cost?

Select correct option:

The depreciation of machinery

The overtime premium incurred at the specific request of a customer

The hire of tools for a specific job

All of the given options

Question # 10 of 15 (Start time: 05:11:51 AM) Total Marks: 1

Factory Over head cost includes

Select correct option:

Factory Rent
Property Tax
Salaries of Factory Clerk
All of the given

Question # 11 of 15 (Start time: 05:11:59 AM) Total Marks: 1
Manufacturing entities classified the inventory in which of three kinds?
Select correct option:

Material inventory,WIP inventory,Finished goods inventory
Material inventory,purchased good inventory,WIP inventory
Material inventory,purchased good inventory,Finished goods inventory
WIP inventory,Finished goods inventory,purchased good inventory

Question # 12 of 15 (Start time: 05:12:10 AM) Total Marks: 1
Which of the following is a mechanical device to record the exact time of the workers?
Select correct option:

Clock Card
Store Card
Token System
Attendance Register

Question # 13 of 15 (Start time: 05:12:45 AM) Total Marks: 1
Merrick Differential Piece Rate System:
Select correct option:

worker is not penalized even if his performance does not exceed 80 per cent of the High Task.

worker is not penalized even if his performance does not exceed 70 per cent of the High Task.

worker is not penalized even if his performance does not exceed 50 per cent of the High Task.

worker is not penalized even if his performance does not exceed 30 per cent of the High Task.

Question # 14 of 15 (Start time: 05:12:53 AM) Total Marks: 1
_____ are future costs that effect the current management decision.

Select correct option:

- Sunk Cost
- Standard Cost
- Relevant Cost
- Irrelevant Cost

Question # 15 of 15 (Start time: 05:13:00 AM) Total Marks: 1
Which of the following statement is TRUE about FOH applied rates?
Select correct option:

- They are used to control overhead costs
- They are based on actual data for each period
- They are predetermined in advance for each period
- None of the given

Question # 1 of 15 (Start time: 05:21:06 AM) Total Marks: 1
The FIFO inventory costing method (when using a perpetual inventory system) assumes that the cost of the earliest units purchased is allocated in which of the following ways?
Select correct option:

- First to be allocated to the ending inventory
- Last to be allocated to the cost of goods sold
- Last to be allocated to the ending inventory
- First to be allocated to the cost of good sold

Question # 2 of 15 (Start time: 05:21:14 AM) Total Marks: 1
If computational and record-keeping costs are same under both FIFO and weighted average, which of the following method will generally be preferred?
Select correct option:

- Weighted Average
- FIFO

Hybrid process

Cannot be determined with so little information

Question # 3 of 15 (Start time: 05:21:21 AM) Total Marks: 1

Which of the following would be considered a major aim of a job order costing system?

Select correct option:

To determine the costs of producing each job or lot

To compute the cost per unit

To include separate records for each job to track the costs

All of the given options

Question # 4 of 15 (Start time: 05:22:08 AM) Total Marks: 1

A cost unit is

Select correct option:

The cost per hour of operating a machine

The cost per unit of electricity consumed

A unit of product or services in relation to which costs are ascertained

A measure of work output in a standard hour

Question # 5 of 15 (Start time: 05:22:28 AM) Total Marks: 1

If, $COGS = Rs. 50,000$ $GP \text{ Margin} = 25\%$ of sales What will be the value of Sales?

Select correct option:

Rs. 200,000

Rs. 66,667

Rs. 62,500

None of the given options

Question # 6 of 15 (Start time: 05:22:48 AM) Total Marks: 1

Which of the following is/are reported in production cost report?

Select correct option:

The costs charged to the department

How the costs were assigned to the output?

The equivalent units of production by the department

All of the given options

Question # 7 of 15 (Start time: 05:22:59 AM) Total Marks: 1

Under/Over applied FOH cost can be adjusted in which of the following:

Select correct option:

Entire Production

Cost of Good sold

Net Profit

All of given options

Question # 8 of 15 (Start time: 05:23:07 AM) Total Marks: 1

Gross pay less deductions represents all except:

Select correct option:

Net pay

Take home pay

Total pay

Other income

Question # 9 of 15 (Start time: 05:23:13 AM) Total Marks: 1

Which of the following is/are reasons of abnormal loss?

Select correct option:

Defective material used

Machine breakdown

Poor workmanships

All of the given

Question # 10 of 15 (Start time: 05:23:21 AM) Total Marks: 1

If, Gross profit = Rs. 40,000 GP Margin = 25% of sales What will be the value of cost of goods sold?

Select correct option:

Rs. 160,000

Rs. 120,000

Rs. 40,000

Can not be determined

Question # 11 of 15 (Start time: 05:23:37 AM) Total Marks: 1
Weighted average cost per unit is calculated by which of the following formula?

Select correct option:

Cost of goods issued/number of units issued

Total cost/total units

Cost of goods manufactured/closing units

Cost of goods sold/total units

Question # 12 of 15 (Start time: 05:23:43 AM) Total Marks: 1
Which of the following statement is TRUE about FOH applied rates?

Select correct option:

They are used to control overhead costs

They are based on actual data for each period

They are predetermined in advance for each period

None of the given

Question # 13 of 15 (Start time: 05:24:01 AM) Total Marks: 1
Which of the following statement is correct regarding reasons of variance?

Select correct option:

Difference between capacity level over which overhead absorption rate is calculated & capacity level attained.

Difference between FOH cost budgeted or estimated over which overhead absorption rate and FOH actually incurred.

Difference between the actual level which company achieved and budget level which company determined.

All of the given

Question # 14 of 15 (Start time: 05:24:53 AM) Total Marks: 1
In which of the following center FOH cost NOT incurred

Select correct option:

Production Center
Service Center
General Cost Center
Head Office

Question # 15 of 15 (Start time: 05:25:25 AM) Total Marks: 1

The Term Maximum Level Represents:

Select correct option:

The maximum stock level indicates the maximum quantity of an item of material which can be held in stock at any time.

The maximum stock level indicates the maximum quantity of an item of material which cannot be held in stock at any time.

The Average stock level indicates the maximum quantity of an item of material which can be held in stock at any time.

The Available stock level indicates the maximum quantity of an item of material which can be held in stock at any time.

MGT402 - Cost & Management Accounting

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Remember Me Us in Your Prayers

Best regard's

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Atad